INDUSTRY SIZE
$250 BILLION
(₹22.6 lakh crore)

BUDGET PLAN
Three dedicated chemical parks
(₹600 cr. allocated for FY27)



HARDIK CHHABRA

Getting the Chemistry Right

Chemical parks and carbon capture anchor the push to build an integrated, sustainable chemical sector

By **SONAL KHETARPAL**

Budget 2026 places the chemicals sector firmly within India's long-term industrial strategy, prioritising structural reforms over immediate incentives. Rather than offering short-term relief, the government has emphasised ecosystem development through chemical parks and aligned the industry with sustainability goals and the energy transition, including carbon capture initiatives for high energy–intensive products, chemicals among them.

THE FUTURE BET

- **Create a world-class ecosystem with robust infrastructure and strong downstream linkages**
- **Raise India's share in the global chemicals value chain from the current 3.5 per cent while advancing decarbonisation**

Chemical parks have been a long-standing industry demand from a capability-building perspective. "In chemicals, what matters is the ecosystem with adequate infrastructure along with downstream industries because many segments are deeply interconnected," explains Khushbu Lakhotia, director, India Ratings & Research. "This is a necessary step, even though it may not have a near-term impact over the next one to two years."

A caustic soda plant, for instance, produces chlorine as a byproduct; given strict disposal norms, industries that consume chlorine must be located nearby. China has built its chemicals dominance through integrated hubs where scale, efficiency and integration drive cost competitiveness—an ecosystem approach still largely missing in India. Against this backdrop, the budgetary allocation of Rs 600 crore for three dedicated chemical parks in FY 2026–27 signals a significant step towards raising India's share in the global chemicals value chain from the current 3.5 per cent.

Yet past experience offers caution. In 2007, four Petroleum, Chemicals and Petrochemical Investment Regions